Iran war inflation shock threatens incumbents' electoral prospects

送信者: EG Geoeconomics 受信日時: 2026-10-20 00:15

【メール原文】

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19 Oct 2026 11:10 EDT Discover more on the Portal

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As the Iran war drives a large inflation shock, a Eurasia Group review of 140 global elections in recent decades found that 80% of democratically elected governments that had elections within two years of a large inflation spike lost power.
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A small share of entrenched or left-wing populist parties avoided electoral defeat after large inflation shocks.
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The analysis found that 72% of incumbents lost power following a moderate inflation shock, with the remaining share proving most resilient when their populations were united behind a cause, such as a war.

Incumbent governments going through inflation shocks see higher turnover. Eurasia Group analysis has found that sharp, temporary increases in oil prices alone do not usually cause incumbents to lose elections (see: Incumbents can outlast oil shocks but inflation is a bigger threat , 22 June 2026). However, a review of the firm's government change database found a statistically significant relationship between broad inflation shocks and turnover. In 80% of cases in our sample, democratically elected governments that faced elections within two years of a large shock lost control of the ruling party, and 72%. We define a large shock as inflation rising two standard deviations (σ) above the baseline. The share was 72% for countries that experienced moderate shocks, defined as inflation between one and two standard deviations above the baseline.

Left-wing populist governments were outliers. The only cases where large shocks did not lead to government change within 24 months were Namibia, Bolivia, and Ecuador, all in elections held in 2009. These governments shared an important feature: all were led by left- to center-left parties that won after the 2008 inflation shock, which voters broadly saw as external. All three also adopted populist measures that softened the impact on their core supporters.

Namibia's South West Africa People's Organization has been reelected every time so far since the country achieved independence in 1990. As in Bolivia and Ecuador, inflation had already begun to ease by the time of the election. Even so, the case shows that high inflation alone does not always generate

enough pressure to unseat an entrenched party that usually wins by large margins.

Even when inflation does not remove incumbents, it still carries political costs. South Africa offers a useful example. The similarly entrenched African National Congress (ANC) managed inflation in the moderate-to-high range, which peaked at 8% in July 2022, while food inflation reached 14%. The shock came from external factors, notably the fuel crisis after Russia's invasion of Ukraine. Even so, the May 2024 election produced the ANC's largest decline in support since the end of apartheid. Inflation was only one factor, but the loss of household purchasing power likely weighed on approval ratings.

Shocks created by a nearby kinetic conflict are a more complex issue. The Russia-Ukraine War caused significantly higher inflation rates in many European countries, with most governments either being removed or seeing lower approval ratings. In the cases of Latvia and Estonia, governments were reelected either during or very close to their respective inflation peaks after moderate shocks. Both countries were highly united behind Ukraine and had relatively recent experience with high inflation rates. Nevertheless, the newly reelected governments in these countries still suffered from a post-fervor decline in approval, possibly a reflection of a quick erosion of voters' ability to withstand higher prices over time. Similarly, the first Gulf War's inflation shock caused a statistically insignificant change in government turnover in the Western world, as these countries were united behind it.

With around ten major leadership elections currently scheduled globally in the next six months, the study shows that the persistence and magnitude of the current spike in inflation could become a critical factor in the political landscape ahead.

Notes on methodology:

We analyzed inflation shocks from 1971 to the present-day using Eurasia Group's database of government change and filtering for democratic elections, resulting in a subset of 140 elections in 35 countries. The sample leaned heavily on Western Europe and Latin America (78% of observations), as these have had the most democratic elections and long-term data.

We noted that there were three outliers, Bolivia, Ecuador, and Namibia, as countries that showed a large shock (more than two standard deviations or "z" over baseline), but not a change in government (detailed in the note). The results without those observations are shared below:

Martina Silva
Associate, Geoeconomics
martina.silva.noemail@eurasiagroup.net
Babak Minovi
Senior Analyst, Geoeconomics
+1-703-409-8190
BMinovi@eurasiagroup.net
Jared Lieberman
Quantitative Analyst, Geoeconomics
lieberman.ne@eurasiagroup.net

EG Geoeconomics
geoeconomics@eurasiagroup.net

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